The role for the state is born of a class of problems where freedom does not work so well, where the free market yields poor outcomes. This is the zone of ‘market failures’, where free men and women, all by themselves, obtain results that disappoint. Where the free market fails to deliver efficient economic outcomes, this is termed ‘market failure’. Market failures come in four kinds: Externalities, Asymmetric information, Market power and Public goods.

Externalities are the situations where persons impact upon each other in ways that are not intermediated through voluntary agreements between these persons, where people impact upon each other in ways that were not negotiated. Consider a factory that emits pollution upon residents without their consent. This pollution is an example of a ‘negative externality’. We can think of an alternative arrangement, where the factory and the residents of the neighbourhood negotiate an agreement, and the residents are paid a fee in return for the privilege of polluting the air. If this were done, the pollution would be intermediated through a market transaction that is voluntarily entered into by all parties, and there is no externality.

Pollution comes in many kinds, from the burning of crop residues in fields, to loudspeakers, to electric lights, to sneezing. All these can induce negative externalities upon other persons without their consent.

There are also *positive* externalities. A university that triggers off a hotbed of entrepreneurship in its neighbourhood is inducing a ‘positive externality’. It imposes beneficial impacts upon nearby households, without their consent. Research and development expenses, that produce new knowledge, impose positive externalities upon society at large. Similarly, a forest that protects biodiversity and captures carbon induces a positive externality.

Whether positive or negative, externalities involve gains or harms that are imposed upon bystanders, which do not directly feed back upon decision makers through the normal market process. When externalities are present, in general, freedom does not give the best outcomes. The free market tends to overproduce things which induce negative externalities and underproduce things that induce positive externalities. When externalities